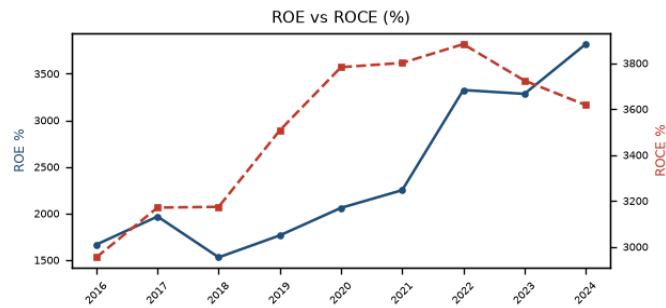
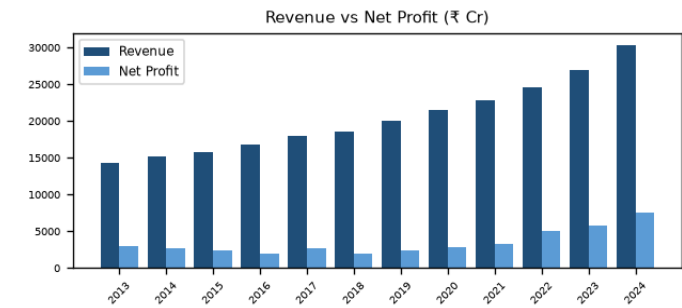


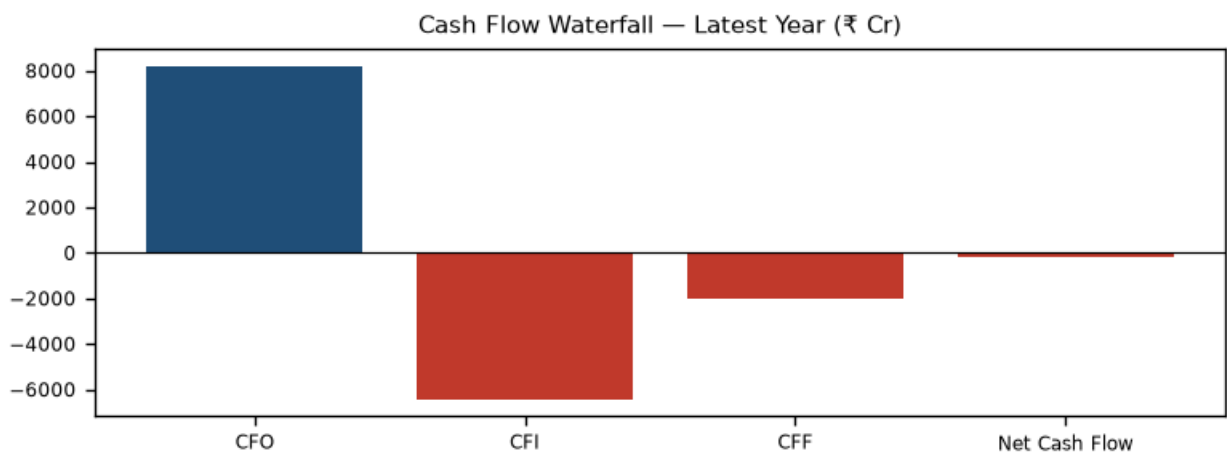
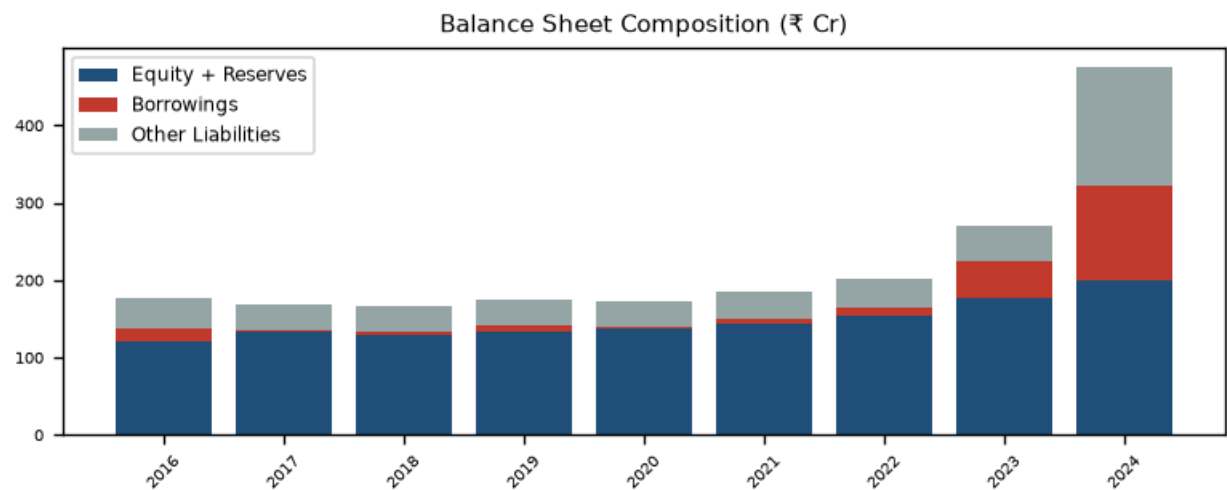
Hindustan Aeronautics Ltd (HAL)

Industrials — Defence & Aerospace

ROE	ROCE	Net Profit Margin
3816.6%	3617.4%	25.0%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
0.6x	8.7%	1814



Hindustan Aeronautics Ltd (HAL) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Shareholder Returns

Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (100% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (64% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (63% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (100% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (64% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (66% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (78% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (70% confidence)